

complaint

Miss S complains that Legal and General Insurance Limited (L&G) unfairly cancelled her household insurance. She says the cancellation record makes it difficult for her to find new insurance. So she would like the record removed.

background

I've attached my provisional decision from May 2015. It forms part of this final decision. In it I set out why I didn't intend to uphold the complaint. This was because I felt Miss S didn't take reasonable care when answering a clear question about her claims history. And it was my opinion that if she'd told L&G about claims she'd made in the previous 12 months it wouldn't have offered her insurance. So I thought L&G acted reasonably when it cancelled her cover.

I invited Miss S and L&G to provide any further information they'd like me to look at before making a final decision. L&G had nothing more to add. Miss S disagreed with my provisional decision. In summary she said:

- medical and personal issues did cause her to give L&G the wrong date for her theft claim and,
- She'd no reason to believe the accidental damage claim was settled.

Miss S sent in more information on her medical history. I've considered this and what she's said about my provisional decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Having done this, I'm not upholding Miss S's complaint.

Miss S says that she has considerable problems with her memory. And she's experienced a great deal of stress because of personal issues. She says these caused her to give L&G the incorrect date for her theft claim. She says that she can struggle to remember things from one day to the next. And she says it is well documented that people suffering from a condition she's been diagnosed with can have memory problems or a 'brain fog'.

I've looked at the new medical information she provided. I can see she's suffered from a variety of medical conditions. One of these it seems can affect memory. And she has reported some memory problems to a consultant. I appreciate she's had a stressful time both medically and personally. And I accept she may have some problems with remembering things. But I still think she was careless with the theft claim. She gave the wrong date for the theft claim. So even with her memory problems she remembered that she'd made it. And she still had some documents from the claim. So I think she should have checked these for the date of the claim before giving details to L&G. It may have been that Miss S knew the correct date, but she entered it incorrectly. If this was the case I think, despite Miss S's circumstances, that this would still be carelessness.

Miss S doesn't seem to say that she had problems recalling the accidental damage claim. She's said she didn't consider it a claim but only an enquiry. She's added, in response to my

provisional decision, that she'd no reason to believe her accidental damage claim had been 'settled'.

I said I think she should have understood she'd made a claim. Perhaps she didn't think it had been settled. But I don't think this makes a difference. L&G asked her if she'd made '*...any claims...*'. The questions didn't ask about '*settled claims*'. In my provisional decision I explained why I thought she should have known she'd made the claim. For example she'd sent the item off for, and received, a valuation. And she had letters from the insurer that told her the claim number. Miss S hasn't said anything that makes me change my mind on this. I still think she was careless when she didn't tell L&G about the accidental damage claim.

So I still think Miss S was careless when she didn't tell L&G the correct information about her claims. And I think if she'd given it the right details it wouldn't have offered her cover. And so it was entitled to cancel her insurance when it found out her correct claims information. I realise this will be disappointing for Miss S, but this means I'm not upholding her complaint. So I can't tell L&G to delete records of the cancellation.

my final decision

For the reasons given above, I don't uphold Miss S's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Miss S to accept or reject my decision before 10 August 2015.

Daniel Martin
ombudsman

PROVISIONAL DECISION

complaint

Miss S complains that Legal and General Insurance Limited (L&G) unfairly cancelled her household insurance. She says the cancellation record makes it difficult for her to find new insurance. So she would like the record removed.

background

In March 2013 Miss S took out a household insurance policy with L&G. She did this online. Some months later she contacted L&G about a damaged mobile phone. L&G treated this as a claim. As part of the claim process it looked at her previous claim history. It said she had, when applying for the insurance, given an incorrect date for a theft claim. It also said she had failed to tell them about an accidental damage claim. So L&G cancelled the policy and refunded the premiums. It said that had it been correctly told about the two claims it wouldn't have offered Miss S cover.

Our adjudicator thought the complaint should be upheld. She looked at L&G's underwriting guide. Her opinion was that L&G's online system had incorrectly applied their owner occupier criteria to Miss S. But Miss S was a tenant and had told L&G this. The adjudicator said that if the tenant criteria had been used Miss S wouldn't have been accepted. So, she thought, L&G had mistakenly accepted Miss S for insurance based on the information she had given.

Because of this, the adjudicator said, L&G had given up its right to cancel the policy. She also thought that had L&G followed its own criteria correctly Miss S would have been refused cover. And Miss S wouldn't have had the L&G policy. So it couldn't have been cancelled. And Miss S wouldn't now be experiencing problems getting insurance. L&G disagreed with this. So the complaint has been passed to me for review.

my provisional findings

I've considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint. Having done this, I don't intend to uphold Miss S's complaint.

did Miss S take reasonable care with her claims history?

I've looked at whether Miss S took reasonable care when answering the claims question. If she did then I would require L&G to ignore her failure to tell it the correct information about her claim or claims. And I could require it to reinstate the policy as it was originally taken out. But I don't think she took reasonable care with the theft, or the accidental damage, claim.

L&G has provided the question it says Miss S was asked. This was:

"CLAIMS

Please give us details if you or anyone who normally lives with you have

- *made any claims on your buildings or contents insurance in the last five years: or*
- *had any incidents of loss, damage or liability where you haven't made a claim."*

Miss S gave details of the theft claim made on her previous household insurance policy. So I think she understood she was required to tell L&G about it. But she gave an incorrect date. The theft happened five months before the application. But she said it happened 16 months before. Miss S accepts this was a mistake. But she says it only happened because she was suffering from various health conditions. She says this was affecting her memory and causing her stress.

I've seen information that shows she was receiving treatment. But I haven't seen enough to make me think the conditions were the reason for her mistake. The theft had occurred only a few months before the application, not a number of years. And she still has documents relating to the claim. So I think

she should have had a better knowledge of the date. It could have been that she knew the correct date but entered it incorrectly. Either way I don't think she intended to mislead. But I think she was careless.

Miss S didn't tell L&G about the accidental damage claim. This happened about 11 months before. It was also made on her previous household insurance policy. She thought the damaged item was worth a few thousand pounds repaired. But the insurer valued it at less than £35. So she didn't receive any payment. She says because of this she didn't think she had made a claim, just an enquiry. But it was recorded as a claim by the insurer. Miss S didn't receive a payment. This was because the valuation was less than the policy excess.

I also think Miss S acted carelessly in not telling L&G about this claim. She sent the damaged item off for a valuation. And she received a valuation. She had letters, from the insurer and company valuing the item, referring to her 'claim'. The letters included a 'claim reference number'. The claim was only about 11 months before she applied for the new insurance. I accept she may have considered the claim to have been unsuccessful. But I think she should have understood she had made a claim. And I think the question from L&G was fairly clear. So I think she acted carelessly in not telling L&G about this second claim.

When we think someone has acted carelessly we look at what the insurer would have done if reasonable care had been taken and the correct information given. I've considered this below.

should L&G have cancelled the policy?

The adjudicator felt L&G's online system didn't apply its own underwriting criteria correctly. She thought that if it had, Miss S's application would have been refused even with the incorrect claim information given. Because L&G had mistakenly accepted Miss S's application, the adjudicator thought, it had given up its right to cancel the policy.

But the adjudicator didn't consider whether Miss S took reasonable care when answering the claims questions. So she didn't look at what would have happened if Miss S had given the correct claims information. I don't think Miss S took reasonable care. So I've looked at what I think the insurer would have done if she had.

The underwriting guide says L&G didn't offer cover to tenants with one or more claim in the last three years. But it accepted owner occupiers with one claim, but no more, in the last 12 months.

Miss S was a tenant. But when she applied it seems the L&G system incorrectly applied the owner occupier criteria to her. And she provided details of one claim she said she had made about 16 months before. So the system accepted her application.

But actually both of her claims were made in the 12 months before she applied for the L&G policy. So had Miss S taken reasonable care, and provided the correct details for these claims, I think she would have been refused cover, even under the owner occupier criteria. This is because L&G only accepted owner occupiers with a maximum of one claim in the last 12 months.

So I think if Miss S had taken reasonable care L&G would have refused her insurance. And I think this would have happened despite the errors in its system. I understand this will be disappointing to Miss S. But as L&G wouldn't have offered her cover, I think it was entitled to cancel her insurance and refund her premiums.

my provisional decision

For the reasons given above, I don't intend to uphold Miss S's complaint.

If Miss S or Legal and General Insurance Limited would like me to consider any further information they should provide it by 22 June 2015.

Daniel Martin
ombudsman